Legal Foundations and Business Ethics for Micro, Small, and Medium Enterprises

---

Starting and managing a business involves more than just selling products or services. Entrepreneurs must navigate laws that govern how businesses operate, from registration requirements to employee rights. They must also make ethical decisions that affect not only their own success but the well-being of employees, customers, suppliers, communities, and the environment. In the Philippines, small and medium enterprises (SMEs) are the backbone of the economy, accounting for the majority of businesses and jobs. Understanding the legal foundations that support SMEs and the ethical responsibilities that come with entrepreneurship is essential for anyone who wishes to start or manage a business.

This reading material discusses the legal foundations in managing business enterprises, focusing on Republic Act 9178 (Barangay Micro Business Enterprise Act) and Republic Act 9501 (Magna Carta for Micro, Small and Medium Enterprises). It also discusses business ethics concepts, including the responsibilities and accountabilities of entrepreneurs toward stakeholders, key aspects of social responsibility, ethical issues such as accountability, fairness, and transparency, different models and frameworks of social responsibility, and the importance of establishing and sustaining business enterprises as sources of job opportunities and financial freedom.

Part 1: Legal Foundations for Small and Medium Enterprises in the Philippines

Small and medium enterprises (SMEs) face unique challenges: limited capital, limited access to credit, and heavy competition from large corporations. The Philippine government has enacted laws to address these challenges by providing incentives, assistance programs, and a simplified regulatory environment.

Republic Act 9178: Barangay Micro Business Enterprise (BMBE) Act of 2002

What is RA 9178?

RA 9178, also known as the Barangay Micro Business Enterprise (BMBE) Act, was enacted to encourage the formation and growth of micro businesses at the barangay level. A BMBE is defined as any business enterprise with total assets of not more than ₱3 million (excluding land) and with at least 51% of its ownership composed of Filipino citizens.

Key Benefits of BMBE Registration

Benefit	Explanation
Income tax exemption	BMBEs are exempt from paying income tax on income from their operations
Priority to government assistance programs	BMBEs receive priority in accessing financing, technology transfer, and training programs
Technology transfer and training	Government agencies provide technical assistance and skills development
Simplified registration process	Reduced requirements and fees for business registration
Exemption from minimum wage law (with conditions)	BMBEs may be exempt from the minimum wage law but must still provide social security and healthcare benefits

Obligations of BMBEs

- Register with the Office of the Treasurer of the city or municipality where the business is located
- Submit annual reports to the Bureau of Internal Revenue (BIR) and the Department of Trade and Industry (DTI)
- Pay local taxes and fees (business permits, mayor's permit)
- Comply with labor standards regarding working conditions, safety, and benefits

Republic Act 9501: Magna Carta for Micro, Small and Medium Enterprises (MSMEs) of 2008

What is RA 9501?

RA 9501, also known as the Magna Carta for MSMEs, amended an earlier law (RA 6977) to strengthen development and assistance programs for micro, small, and medium enterprises. It provides a broader framework for supporting businesses at all stages of growth.

Definition of MSMEs Under RA 9501

Category	Asset Size (excluding land)
Micro enterprise	Not more than ₱3 million
Small enterprise	More than ₱3 million to ₱15 million
Medium enterprise	More than ₱15 million to ₱100 million

Key Provisions of RA 9501

Provision	Explanation
Credit support	Banks must allocate at least 8% of their loan portfolio to micro and small enterprises (for thrift and rural banks, 2% for medium enterprises)
Technology and training	Government must provide technology transfer, skills training, and consultancy services
Market access	Government agencies must set aside at least 10% of their procurement budget for products and services from MSMEs
One-stop business registration	Government must simplify registration processes through a single window

SME Development Council	Creates a council to coordinate policies and programs for MSMEs

Benefits of MSME Registration

Benefit	Applicable To
Priority in government procurement	All MSMEs
Access to credit and loan guarantees	All MSMEs
Technical and skills training	All MSMEs
Technology transfer and advisory services	All MSMEs
Income tax exemption (under certain conditions)	Only BMBEs under RA 9178

Part 2: Business Ethics Concepts

While laws tell entrepreneurs what they must do, ethics tells them what they should do. Ethics goes beyond legal compliance. A business can follow the law while still acting unethically – for example, paying minimum wage (legal) while treating employees with disrespect (unethical). Business ethics is the application of moral principles to business decisions and practices.

What Is Business Ethics?

Business ethics is the study of what constitutes right and wrong behavior in business contexts. It involves applying moral principles such as honesty, fairness, integrity, and accountability to decisions about products, employees, customers, suppliers, competitors, and the community.

Why Business Ethics Matters

Reason	Explanation
Reputation	Unethical behavior damages brand image and customer trust
Legal protection	Ethical businesses are less likely to violate laws
Employee morale	Employees prefer to work for ethical organizations
Customer loyalty	Customers reward ethical businesses with repeat purchases
Long-term success	Unethical shortcuts may produce short-term profit but long-term failure

---

Part 3: Responsibilities and Accountabilities of Entrepreneurs to Stakeholders

Entrepreneurs are not accountable only to themselves. They have responsibilities to multiple groups called stakeholders. A stakeholder is anyone who is affected by or can affect the business's decisions and operations.

Who Are the Stakeholders?

Stakeholder	Description
Owners/shareholders	Those who invested capital in the business
Employees	Those who work for the business
Customers	Those who buy products or services
Suppliers	Those who provide raw materials or services

Stakeholder	Description
Creditors and lenders	Those who loan money to the business
Government	Those who regulate and tax the business
Community	Those who live near where the business operates
Environment	The natural world affected by business operations

Responsibilities to Each Stakeholder

Stakeholder	Primary Responsibility	Examples
Owners/shareholders	Provide fair return on investment	Pay dividends, increase share value, manage risk
Employees	Provide safe, fair, respectful workplace	Pay fair wages, provide benefits, ensure safety, prevent discrimination
Customers	Provide safe, quality products at fair prices	Honor warranties, avoid false advertising, handle complaints fairly
Suppliers	Pay fairly and on time; honor contracts	Pay within agreed terms, do not abuse power, maintain honest communication
Creditors	Repay loans on time; provide accurate financial information	Make timely payments, disclose risks honestly
Government	Comply with laws; pay taxes	File accurate returns, follow regulations, cooperate with audits

Stakeholder	Primary Responsibility	Examples
Community	Be a good neighbor; minimize harm	Reduce pollution, support local causes, create jobs
Environment	Minimize negative impact	Reduce waste, conserve resources, avoid pollution

Accountability vs. Responsibility

Concept	Definition	Example
Responsibility	The obligation to perform a task or duty	The entrepreneur is responsible for paying employees on time
Accountability	Being answerable for the results of one's actions	If payroll is late, the entrepreneur is accountable (must explain why and take corrective action)

Part 4: Key Aspects of an Entrepreneur's Social Responsibility

Social responsibility goes beyond legal obligations. It is the voluntary commitment to act in ways that benefit society and the environment. While laws set the minimum standard for acceptable behavior, social responsibility asks businesses to do more than the minimum. A legally compliant business may follow environmental laws but still emit pollution up to the legal limit. A socially responsible business voluntarily reduces pollution further, knowing that even legal emissions harm the community. In short, social responsibility is about choosing to do good, not just being forced to avoid doing harm.

Areas of Social Responsibility

Area	What It Includes	Examples
Economic responsibility	Be profitable; create jobs; pay taxes	Generate profit, hire locally, contribute to tax base
Legal responsibility	Obey laws and regulations	Comply with labor laws, environmental laws, consumer protection laws
Ethical responsibility	Do what is right, even when not required by law	Be honest, fair, transparent; avoid harm even if legal
Philanthropic responsibility	Give back to the community	Donate to local causes, sponsor community events, support education

---

Part 5: Ethical Issues in a Business Enterprise

Entrepreneurs face ethical dilemmas where competing values must be balanced. Three key ethical principles are accountability, fairness, and transparency.

Accountability

Accountability means being answerable for one's actions and decisions. An accountable entrepreneur admits mistakes, takes corrective action, and accepts consequences.

Ethical Issue	Unethical Behavior	Ethical Behavior
Product defects	Hiding defects to avoid recall	Disclosing defects, recalling products, compensating customers

Financial reporting	Inflating profits to attract investors	Reporting accurate results, even when unfavorable
Mistake in customer billing	Keeping overpayment	Notifying customer and refunding excess

Fairness

Fairness means treating all stakeholders equitably, without discrimination or favoritism.

Ethical Issue	Unethical Behavior	Ethical Behavior
Hiring	Hiring friends or relatives without regard to qualifications	Hiring the most qualified candidate regardless of relationship
Pricing	Charging different prices to different customers without reason	Consistent pricing for similar customers
Supplier selection	Choosing suppliers who provide kickbacks	Choosing suppliers based on quality, price, and reliability

Transparency

Transparency means being open and honest about business practices, without hiding information that stakeholders need to make informed decisions.

Ethical Issue	Unethical Behavior	Ethical Behavior
Product ingredients	Hiding harmful ingredients	Full disclosure of ingredients on labels
Pricing	Adding hidden fees after customer commits	Clear disclosure of all costs before purchase

Data collection	Selling customer data without consent	Informing customers how data will be used

---

Part 6: Different Models and Frameworks of Social Responsibility

Several models help entrepreneurs understand and implement social responsibility.

Carroll's Pyramid of Corporate Social Responsibility

This is the most widely used framework for understanding the different levels of obligation that a business has to society. The pyramid presents four levels of responsibility arranged from the most fundamental (at the base) to the most aspirational (at the top).

At the base is economic responsibility – the need to be profitable to survive. Above that is legal responsibility – obeying the laws society has codified. Next is ethical responsibility – doing what is right, just, and fair even when no law demands it. At the top is philanthropic responsibility – voluntary activities that improve community life, such as charitable donations.

The pyramid structure is intentional: a business cannot be truly socially responsible if it ignores the lower levels; donating to charity does not excuse breaking the law or harming stakeholders.

Level	Responsibility	Description
1 (Base)	Economic	Be profitable. Without profit, other responsibilities are impossible.
2	Legal	Obey the law. Law is society's codification of right and wrong.
3	Ethical	Do what is right, just, and fair, even when not required by law.
4 (Top)	Philanthropic	Be a good corporate citizen. Give back to the community.

Triple Bottom Line Framework

The triple bottom line evaluates business success based on three criteria: Profit (economic), People (social), and Planet (environmental).

Bottom Line	Focus	Questions
Profit (Economic)	Financial performance	Are we profitable? Do we create jobs? Do we pay taxes?
People (Social)	Treatment of stakeholders	Do we treat employees fairly? Do we serve customers well? Do we support the community?
Planet (Environmental)	Environmental impact	Do we pollute? Do we waste resources? Do we harm ecosystems?

Key insight: A business can be profitable (good for profit) but still fail if it harms people or the planet. True success requires all three.

Stakeholder Theory

Stakeholder theory argues that businesses should create value for all stakeholders, not just shareholders. Shareholders are important, but so are employees, customers, suppliers, communities, and the environment.

Traditional View (Shareholder Theory)	Stakeholder Theory
The only responsibility is to maximize shareholder profit	Responsibilities to all affected groups
Other stakeholders are means to that end	All stakeholders have intrinsic value
Ethics is about avoiding illegal profit reduction	Ethics is about balancing competing legitimate interests

Part 7: Importance of Establishing and Sustaining Business Enterprises

Businesses are not just sources of profit for owners. They are essential institutions that provide social and economic benefits.

Source of Job Opportunities

Impact	Explanation
Direct employment	Businesses hire workers directly, providing income for families
Indirect employment	Businesses create jobs in supplier industries, transportation, retail, and services
Multiplier effect	Each job in a business supports multiple additional jobs in the local economy (e.g., workers spend wages at local stores)
Skills development	Businesses train workers in valuable skills that increase their future employability

Source of Financial Freedom

Impact	Explanation
Entrepreneurial income	Business owners earn income from their own efforts, not dependent on an employer
Asset building	Successful businesses build equity and wealth over time
Economic independence	Business ownership provides control over one's financial future

Impact	Explanation
Generational wealth	Family businesses can provide financial stability across generations

Broader Social Benefits

Benefit	Explanation
Tax revenue	Businesses pay taxes that fund public services (schools, roads, healthcare)
Innovation	Businesses develop new products and services that improve quality of life
Community development	Businesses anchor local economies, attracting other investment
Poverty reduction	Job creation is the most effective path out of poverty

---

Part 8: Putting It All Together – The Ethical, Legal, and Socially Responsible Entrepreneur

The successful entrepreneur integrates legal compliance, ethical principles, and social responsibility into daily operations.

Principle	Action
Legal compliance	Register the business properly (BMBE or MSME). Pay taxes. Follow labor laws. Obtain necessary permits.

Principle	Action
Ethical conduct	Be honest with customers. Be fair to employees. Be transparent about products and prices.
Social responsibility	Treat stakeholders with respect. Minimize environmental harm. Support the local community.
Long-term perspective	Recognize that ethical, responsible businesses are more sustainable and successful over time.

Key Terms

Term	Definition
BMBE (Barangay Micro Business Enterprise)	A micro business with assets up to ₱3 million, eligible for tax exemptions and assistance
MSME (Micro, Small and Medium Enterprise)	Classification based on asset size: micro (₱3M), small (₱3-15M), medium (₱15-100M)
Stakeholder	Anyone affected by or who can affect a business's decisions
Business ethics	Application of moral principles to business decisions
Accountability	Being answerable for one's actions and decisions
Fairness	Treating all stakeholders equitably without discrimination
Transparency	Being open and honest about business practices
Triple bottom line	Framework evaluating profit, people, and planet
Carroll's pyramid	Four levels of responsibility: economic, legal, ethical, philanthropic

Review Questions

1. What is RA 9178 (BMBE Act)? What are the asset requirements and key benefits for BMBEs?

2. What is RA 9501 (Magna Carta for MSMEs)? How does it define micro, small, and medium enterprises?

3. List five stakeholders of a business enterprise. For each, state one responsibility the entrepreneur has toward that stakeholder.

4. Explain the difference between responsibility and accountability. Provide one example of each.

5. What are the three ethical principles discussed in this lesson (accountability, fairness, transparency)? For each, provide one example of ethical behavior.

6. Describe Carroll's Pyramid of Corporate Social Responsibility. What are the four levels, and why are they arranged as a pyramid?

7. What is the triple bottom line framework? Explain the three bottom lines (profit, people, planet).

8. Why are business enterprises important as sources of job opportunities and financial freedom? Provide two reasons for each.

9. A small business owner pays minimum wage (legal) but discriminates against women in hiring (unethical). Using concepts from this lesson, explain why this business is legally compliant but not ethical.

10. Application question: You are starting a small food business with assets of ₱2.5 million. Should you register as a BMBE under RA 9178? What benefits would you receive? What obligations would you have? Then, using the triple bottom line framework, identify one action you would take for each bottom line (profit, people, planet) to make your business socially responsible.